

MERIDIAN FINANCE PRIVATE LIMITED
A Non-Banking Financial Company (NBFC-ICC, Middle Layer)

Personal Loan Credit Policy

Unsecured Personal Loans

Version 1.0 (baseline) • Effective 1 February 2023 • Classification: Internal / Confidential

*Fictitious test document. This is the **baseline (v1.0)** policy, last reviewed before the RBI circulars issued during 2023-2025. It is intentionally NOT yet aligned to those circulars - the required changes are set out in the companion **Regulatory Impact Assessment**. "Meridian Finance Private Limited" is not a real entity; all RBI references cited elsewhere are real.*

1. Document Control

Field	Detail
Policy code	PL-CP-001
Owner	Chief Risk Officer
Approved by	Board of Directors
Version	1.0 (baseline)
Effective date	1 February 2023
Last reviewed	1 February 2023
Status	Pending regulatory refresh - see Regulatory Impact Assessment
Classification	Internal / Confidential

2. Purpose & Scope

This Policy governs the sourcing, underwriting, pricing, disbursement, servicing and collection of the Company's unsecured personal loans. It applies to all channels (branch, tele-sales, the Company's app, and digital partners) and binds all employees and outsourced partners engaged in the loan lifecycle.

3. Eligibility & Product Parameters

All lending must fall within the parameter matrix below.

Parameter	Value
Ticket size	Rs. 50,000 - Rs. 20,00,000
Tenor	6 - 60 months
Minimum bureau (CIBIL) score	700
Maximum FOIR	55%
Interest rate band (p.a.)	14% - 26%
Processing fee	up to 2.5% + GST
Security	Nil (unsecured)

4. Operative Clauses (baseline)

The following are the Policy's current operative clauses. (Several of these predate later RBI circulars and are flagged for revision in the Regulatory Impact Assessment.)

4.1 Pricing & disclosure

Interest rate, processing fee and applicable charges are disclosed to the borrower in the sanction letter and loan agreement. Interest is charged on a monthly-reducing balance.

4.2 Default & overdue

On default, **penal interest at 24% per annum** is levied on the overdue amount over and above the contracted rate, and is **compounded monthly** along with the outstanding until regularisation.

4.3 Digital sourcing

Loans may be sourced through the Company's digital partners and their apps. Disbursal and collections may be routed through the partner's designated account. Borrower data required for onboarding is captured by the partner.

4.4 Credit information reporting

Sanctioned loans are reported to Credit Information Companies on a **monthly** basis, by the 7th of the following month.

4.5 Capital & risk weight

For capital adequacy, personal loans are treated as standard retail exposures and carry a **risk weight of 100%**.

5. Governance & Review

The Board owns this Policy and the Company's credit risk appetite; the Risk Management Committee of the Board reviews portfolio quality and regulatory change. This Policy is reviewed at least annually and whenever the RBI issues an instruction affecting the product. The maker cannot self-approve. Deviations are permitted only within the Board-approved deviation matrix and reported monthly to the Credit Committee.